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TECHNICAL NOTE · INDUSTRIAL EFFICIENCY AND ENERGY

The Türkiye ETS pilot: what the January 2027 monitoring plan deadline asks of your plant

The pilot procedures approved on 30 September 2026 make 2026 a reporting year and 2027 the first year with allowances to surrender. The first step is a monitoring methodology plan.

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October 2026

Executive summary

1. On 30 September 2026 the Presidency of Climate Change approved the procedures and principles for the pilot phase of the Türkiye Emissions Trading System. The pilot covers the 2026 and 2027 system years and category B and C installations, those emitting more than 50,000 tonnes of CO2 equivalent a year, in electricity generation, cement, iron and steel, aluminium and fertilisers.
2. 2026 is a reporting year. Allowances are first surrendered for 2027 emissions, with free allocation in 2027 set at 100% of the benchmark-based allocation. That first surrender falls due on the last business day of November 2028.
3. The nearest deadline is the monitoring methodology plan. On 13 October 2026 the Presidency extended the deadline for the first plans from 27 October 2026 to 27 January 2027. The plan defines the installation's sub-installations and how their activity levels are monitored, and so the data on which free allocation will be calculated.

What the pilot procedures set

The Türkiye Emissions Trading System Regulation, published in Official Gazette No. 33353 on 27 August 2026 under Climate Law No. 7552, gave pilot installations two months to submit their first monitoring methodology plans and allowed the Presidency to extend that period. The pilot procedures and principles followed on 30 September 2026 and were announced on 1 October.

The pilot is limited to five sectors and to category B installations (more than 50,000 and up to 500,000 tonnes of CO2 equivalent a year) and category C installations (more than 500,000 tonnes). Smaller installations in listed activities keep their monitoring, reporting and verification duties under the Regulation, but are not in the pilot.

The calendar announced for the pilot is: first monitoring methodology plans by 27 January 2027; the verified activity level report for 2026 by 30 April 2027; verified activity level reports for electricity sub-installations covering 2023 to 2025 by 30 June 2027; the verified activity level report for 2027 by 30 April 2028; and the first surrender of allowances, for 2027 emissions, on the last business day of November 2028. Verified annual emissions reports remain due by 30 April.

Free allocation is calculated from benchmarks and verified activity levels. For electricity the benchmark is plant-specific and based on the plant's historical emission intensity. Numeric benchmarks for the other sectors and the national allocation plan had not been published when this note was written, and market rules for trading allowances were still being prepared.

Why the methodology plan matters more than it looks

The monitoring methodology plan is a separate document from the installation's greenhouse gas monitoring plan. It divides the installation into sub-installations and sets out how the activity level of each one, and the emissions attributed to it, are measured. The verified activity level report built on that plan is the basis for free allocation.

A plan that does not match how the plant actually runs produces activity levels a verifier cannot confirm. In a benchmark system, that is not a paperwork problem: allocation follows verified activity, so weak data can reduce or delay the free allowances an installation receives once the price applies.

100% free allocation in 2027 does not mean zero exposure. Allocation is 100% of a benchmark-based amount, not of actual emissions. An installation that emits more per tonne of product than the benchmark will be short of allowances, and that gap becomes a cost once allowances carry a price.

The same plant data feeds the emissions figures EU importers request under CBAM. A carbon price effectively paid in Türkiye may be deducted under the CBAM rules, but how the Commission will treat the pilot has not yet been set out, so no saving should be promised to EU buyers on that basis.

Five common misreadings

"Free allocation is 100%, so the pilot costs nothing." It is 100% of a benchmark-based allocation, not of actual emissions. Installations above the benchmark face a shortfall.

"Our existing monitoring plan covers this." The monitoring methodology plan is a separate document focused on sub-installations and activity levels.

"The deadline moved, so there is time." The extension is three months, and the 2026 activity level report built on the plan must be verified by 30 April 2027.

"We are not in the five pilot sectors, so nothing applies." Monitoring, reporting and verification duties under the Regulation continue for other listed activities.

"Allocation will be settled by the authority later." Allocation is calculated from data the operator monitors and reports now.

Questions for the leadership team

1. Which of our installations are in the pilot, and in which category?
2. Who is preparing our monitoring methodology plan for 27 January 2027, and has the sub-installation split been agreed with the plant?
3. Do our meters and records support activity levels per sub-installation for the whole of 2026?
4. Which accredited verifier will check our 2026 activity level report, and when?
5. How does our emission intensity compare with what the benchmark is likely to be?
6. What would a shortfall in 2027 cost at a range of allowance prices?
7. Does the same data serve the CBAM requests from our EU buyers?

What a good first step produces

A useful first step is a review of the monitoring methodology plan for one installation: the sub-installation split, the measurement of each activity level, the data that exists for 2026 and the gaps a verifier would find. It should leave the leadership team with a plan that can be submitted by 27 January 2027 and a first view of allocation exposure.

Ganrich Advisory runs this as a focused review with your plant, environment and finance teams. We are not a verification body, and formal legal advice comes from qualified counsel. We share the working method in a conversation rather than in print, because it depends on the installation.

Start a conversation

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About this paper. This paper reflects official sources checked on 26 October 2026. It is general information, not legal, customs, tax or engineering advice. Rules, thresholds and dates change; confirm them against official sources before acting. It describes no client work or results.

Sources: Türkiye Emissions Trading System Regulation, Official Gazette No. 33353, 27 August 2026: resmigazete.gov.tr · Presidency of Climate Change, announcement of the pilot procedures and principles (1 October 2026) and of the extended monitoring methodology plan deadline (14 October 2026): iklim.gov.tr · Climate Law No. 7552, Official Gazette No. 32951, 9 July 2025: resmigazete.gov.tr · Regulation (EU) 2023/956 establishing CBAM: eur-lex.europa.eu/eli/reg/2023/956/oj

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